

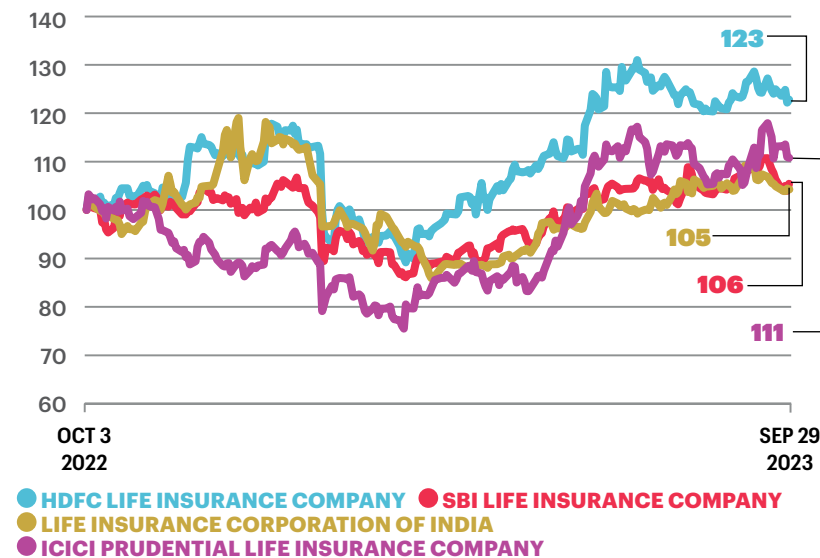
₹3.94

LAKH CRORE

The average market cap of insurance behemoth LIC in the BT500 study period. It debuted on the list last year at No. 9

STOCK FLOW

➤ LIC's stock has been hit by volatility this year ➤ It underperformed the other major life insurers during the study period



seized this opportunity, aggressively marketing to the younger and affluent demographic, effectively increasing their market share,” she adds.

Additionally, LIC's stock has displayed a fair bit of volatility this year, with share prices varying from ₹709.5 on January 2 to ₹600 on November 1. At this lower price, LIC's shares are trading at a 36 per cent discount from its issue price of ₹949 per share.

BEHIND THE DOWNTURN

Understanding LIC's downturn is crucial. Two factors appear to have been at play here—a change in income tax rules announced in the Union Budget and the insurance behemoth's financial performance in the first half of the current fiscal.

On the tax front, the life insurance industry has seen a steep fall in premium income compared to

last year because of a fall in demand for higher-premium life insurance policies. This was triggered by Finance Minister Nirmala Sitharaman's announcement in the Union Budget of 2023-24 that tax will be levied on insurance policies with premiums above ₹5 lakh.

In August, the Central Board of Direct Taxes notified the changes. According to the new rules, for premiums beyond the ₹5 lakh limit, the proceeds will be added to the income and taxed at applicable rates. This is applicable on all policies issued on or after April 1, 2023.

Omkar Kamtekar, Research Analyst at stock broker Bonanza Portfolio Ltd, says, “The new policy [change] has made big-ticket insurance plans less desirable for high net-worth individuals (HNIs) and impacted the life insurance industry. Following this announcement, the stock prices of life insurance companies experienced an im-

mediate correction ranging from 9 to 12 per cent.” Though prices have rebounded since, life insurance stocks have underperformed the market because of the impact of this change in tax rules, adds Kamtekar.

Then there is the sluggish performance of the top life insurers in the first half of financial year 2023-24 (H1FY24), which has aided the slump in their stock prices from their respective highs. There has been a drop in new business premium (NBP) collection for the sector. Total collections dipped 12.97 per cent to ₹1.58 lakh crore in H1FY24, against ₹1.81 lakh crore in the corresponding period last year.

But look deeper and a different picture emerges. NBP collected by the private insurers has been consistently higher year-on-year (YoY) every month and grew 13.75 per cent in H1FY24 to ₹65,734 crore. The dip in the overall collections is